process of getting government off the backs and out of the pockets of people and business, and they were responding with a burst of economic activity that would bring down unemployment, inflation, and interest rates.

As the economy started to take off, I started joking around the Oval Office: “Do you notice they’re not calling it ‘Reaganomics’ any more?” Until the recovery began, “Reaganomics” had been a term of derision.

I regarded the 1984 presidential election as pivotal—not because I wanted to live in the White House for four more years, but because I believed the gains we’d made during the previous four years were in jeopardy. Although she never brought it up, I think Nancy would have preferred that I not run for reelection in 1984. But I never doubted I would. I wanted to preserve what we had accomplished, and there were a lot of things I still wanted to do that I hadn’t been able to do yet. Foremost among them, domestically, were cutting the deficit and balancing the budget.

Although an economic expansion was under way, I thought we could do more to stimulate the economy by making our tax system fairer and simpler. I wanted to persuade Congress to cut more waste out of the budget and continue the process of making government smaller and less intrusive in our lives. I still thought I had a shot at balancing the budget during the next four years.

To me, former Vice-President Walter Mondale, the Democratic presidential nominee in 1984, was another classic tax-and-spend liberal from the *new* school of the Democratic Party—the one that had parted company with its founders, Thomas Jefferson and his friends who believed that the least government was the best government and that “governments are not the masters of the people, but the servants of the people governed.” The new school of Democrats thought of government in exactly the opposite way. In 1984, it had become a conglomeration of blocs and